KEYS, how a first buyer lets tenants help pay the mortgage

Flash | Landlord Secrets

Your rent pays off your landlord's loan. This guide shows the same idea from the other side, where you buy a small building, live in one unit, and let the other tenants cover part of your payment. It is called house hacking, and a duplex is the simplest way to start.

One worked example

These numbers are illustrations. Yours will be different.

- **Price** a $400,000 duplex, two units
- **Down payment** $14,000, which is 3.5 percent
- **Loan** $386,000 at 7 percent over 30 years
- **Loan payment** about $2,568 a month for principal and interest
- **Mortgage insurance** about $177 a month
- **Property taxes** about $400 a month
- **Home insurance** about $150 a month
- **Total** about $3,295 a month
- **Rent from the other unit** $1,800 a month
- **What you pay** about $1,495 a month, and you live in a place you own

The tenant covers about 55 percent of the full cost. Compared with the loan payment alone it is about 70 percent, but the full cost is the honest number.

Why this is possible

- Some loans for owner occupied buildings of up to four units ask for as little as 3.5 percent down. The FHA loan is one, and it usually needs a credit score of about 580 or more. Some conventional loans allow about 5 percent down on a two unit.
- You have to live in the building, usually for at least a year.
- Many lenders count about 75 percent of the other unit's expected rent as income when they decide what you can borrow.
- FHA also charges an upfront mortgage insurance fee of about 1.75 percent of the loan, normally added to the loan. It raises the payment by about $45 a month in this example, which is left out above to keep it simple.

Before you buy

1. **Talk to a lender first** and ask how much you can borrow, what the down payment and credit score need to be, and how they count the rent.
2. **Add up the cash**, which is the down payment, closing costs (often 2 to 5 percent of the price) and a few months of reserves for repairs.
3. **Run the numbers on the real building**, using real rent for the area, real tax bills and a real insurance quote. Leave out the rent you hope for.
4. **Get an inspection.** Repairs are your cost now.
5. **Plan for an empty unit.** Can you pay the full amount for a few months if the other side has no tenant?

What can go wrong

- The rent does not cover as much as you expected.
- A repair or an empty unit costs more than your savings.
- Landlord and tenant rules differ by place, and you will be the landlord.
- Rates, prices and rents move, and a building can lose value.

The idea in one line

A renter pays for someone else's house. A house hacker pays a smaller amount toward their own.

Illustrative numbers only. Loan terms, rates, fees and rules vary by lender and place, so check current terms with a lender. This is educational and is not financial advice.